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Marketing Management • 14e



Creating Brand Equity

Discussion Questions

1. How do consumer characteristics influence buying behavior?
2. What major psychological processes influence consumer responses to the marketing program?
3. How do consumers make purchasing decisions?
4. In what ways do consumers stray from a deliberative, rational decision process?



Strategic Brand Management



Brand

“A name, term, sign, symbol, or design, or a combination of them, intended to identify the goods or services of one seller or group of sellers and to differentiate them from those of competitors.”



Role of Brands

Consumer Benefits

Brands:

- Identify source/maker
- Simplifies decision making
- Reduces risk



Role of Brands

Marketer Benefits

Brands:

- Simplify product handling
- Protect unique features
- Create loyalty
- Establish barriers to entry



Scope of Branding



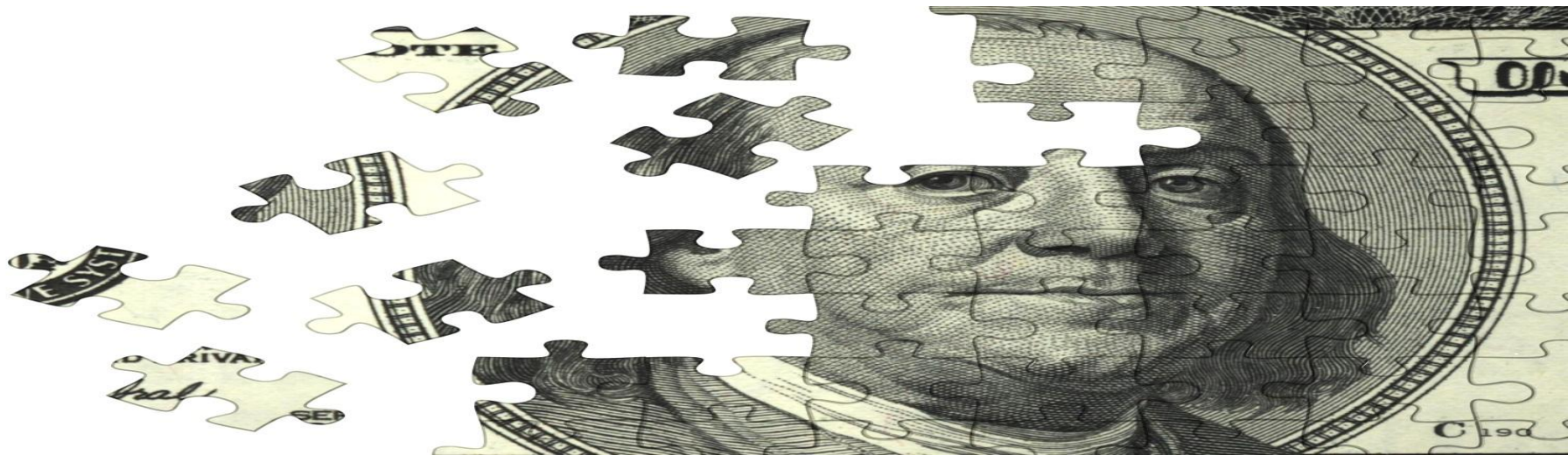
Creating difference between products



Defined

Brand Equity

The added value endowed on products and services because of the brand.



Customer-based Brand Equity

Differences in
consumer response



Consumers' brand
knowledge



Perceptions, preferences,
and behaviors



Brand Promise



What the brand must be
and do for consumers.

Brand Equity Models

1. BrandAsset Valuator (BAV)
2. BrandZ
3. Brand Resonance Model

Figure 9.1

BrandAsset® Valuator Model

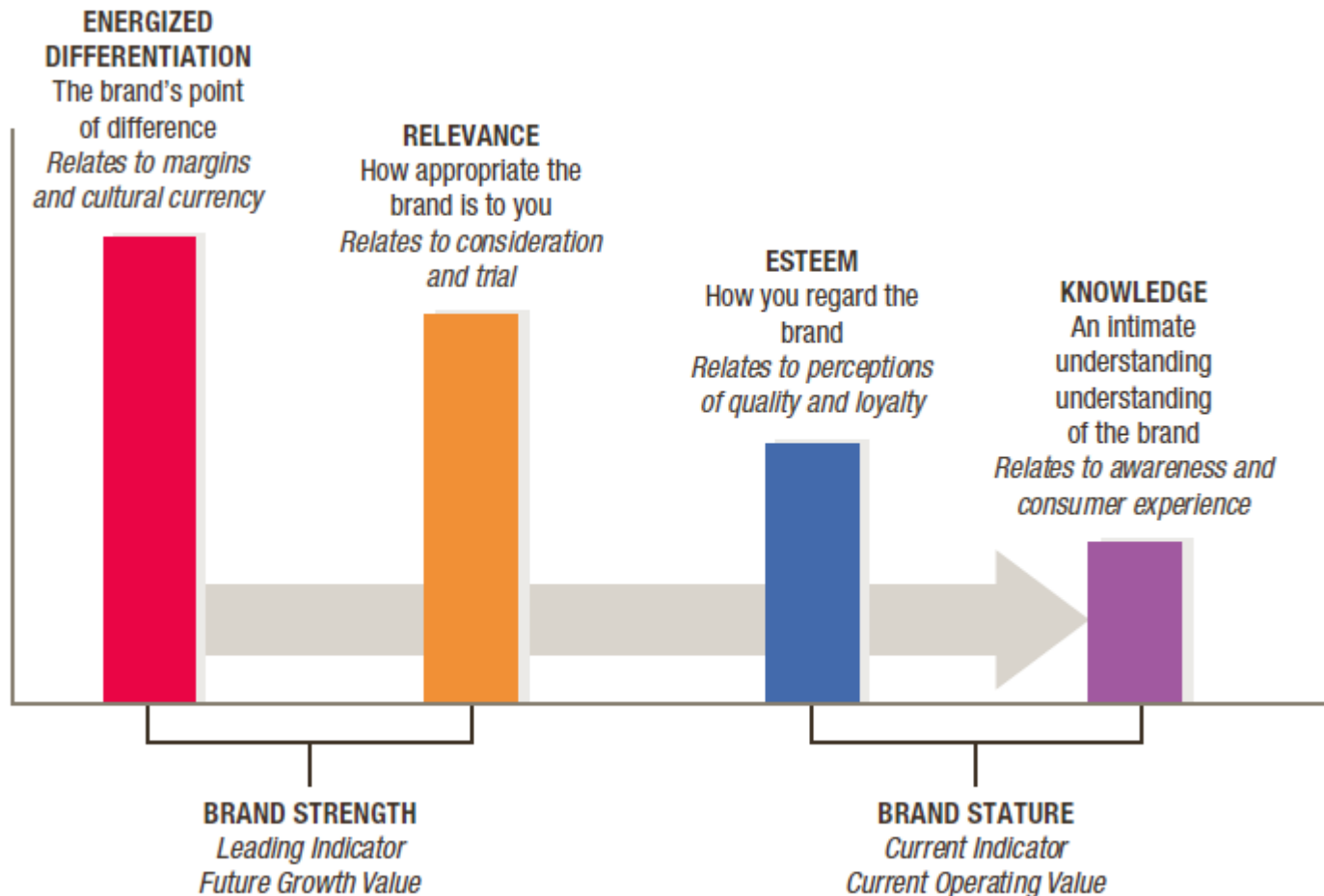


Figure 9.2

Universe of Brand Performance

These brands have relevance, but only to a small audience.

Customers find these brand irresistible. They have high earnings and margin power.

These brands are not well known. Many are new, others are lost.

These brands can't overcome what is already known about them.

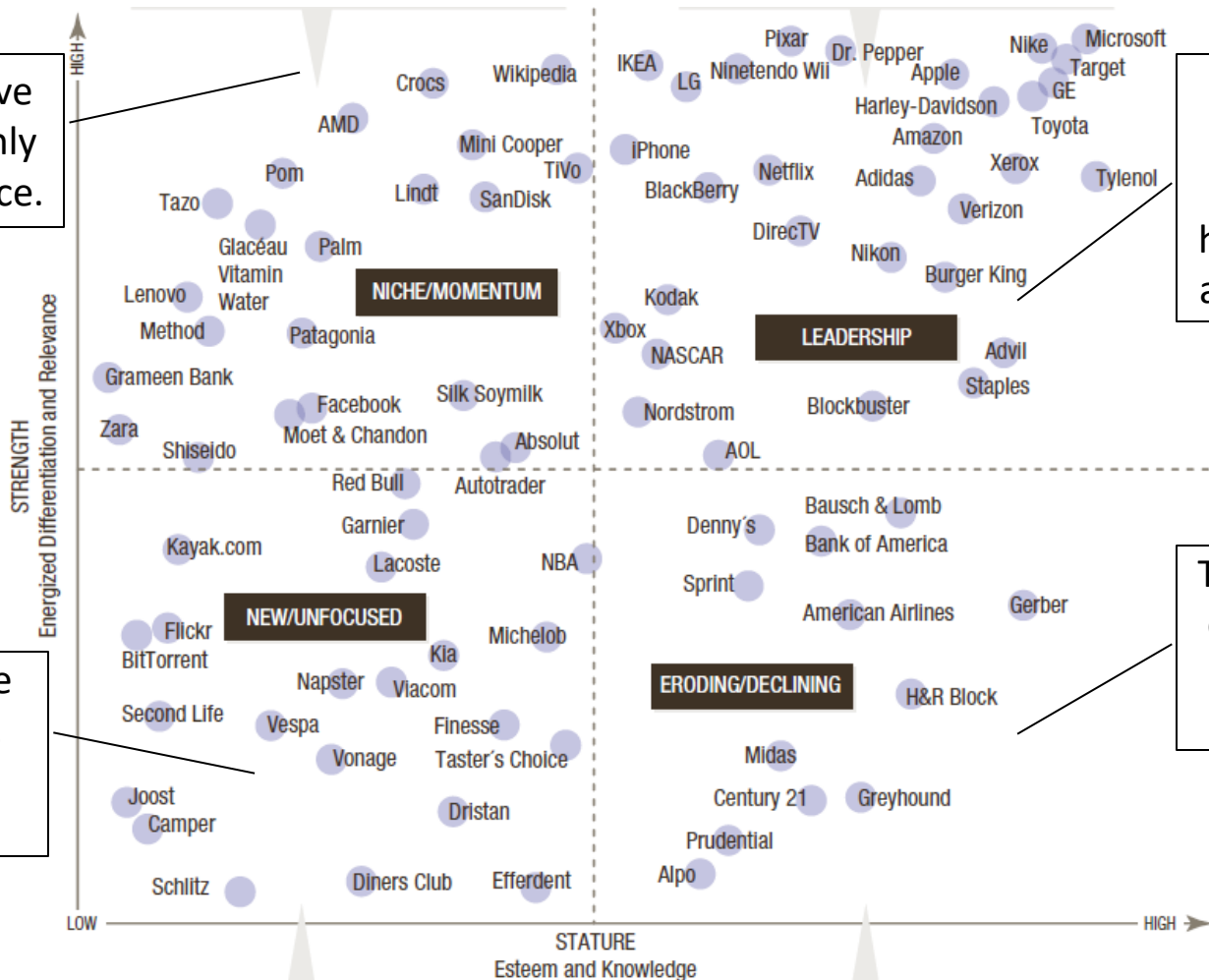


Figure 9.3

Brand Dynamics Pyramid

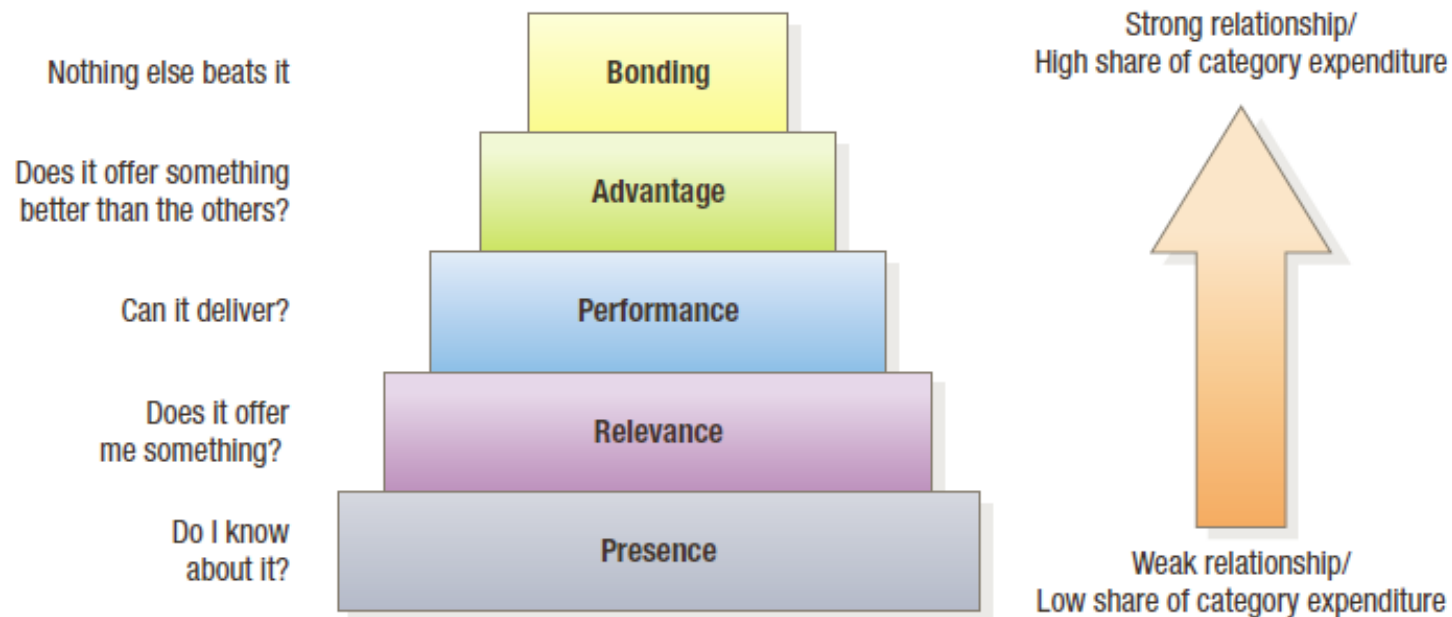
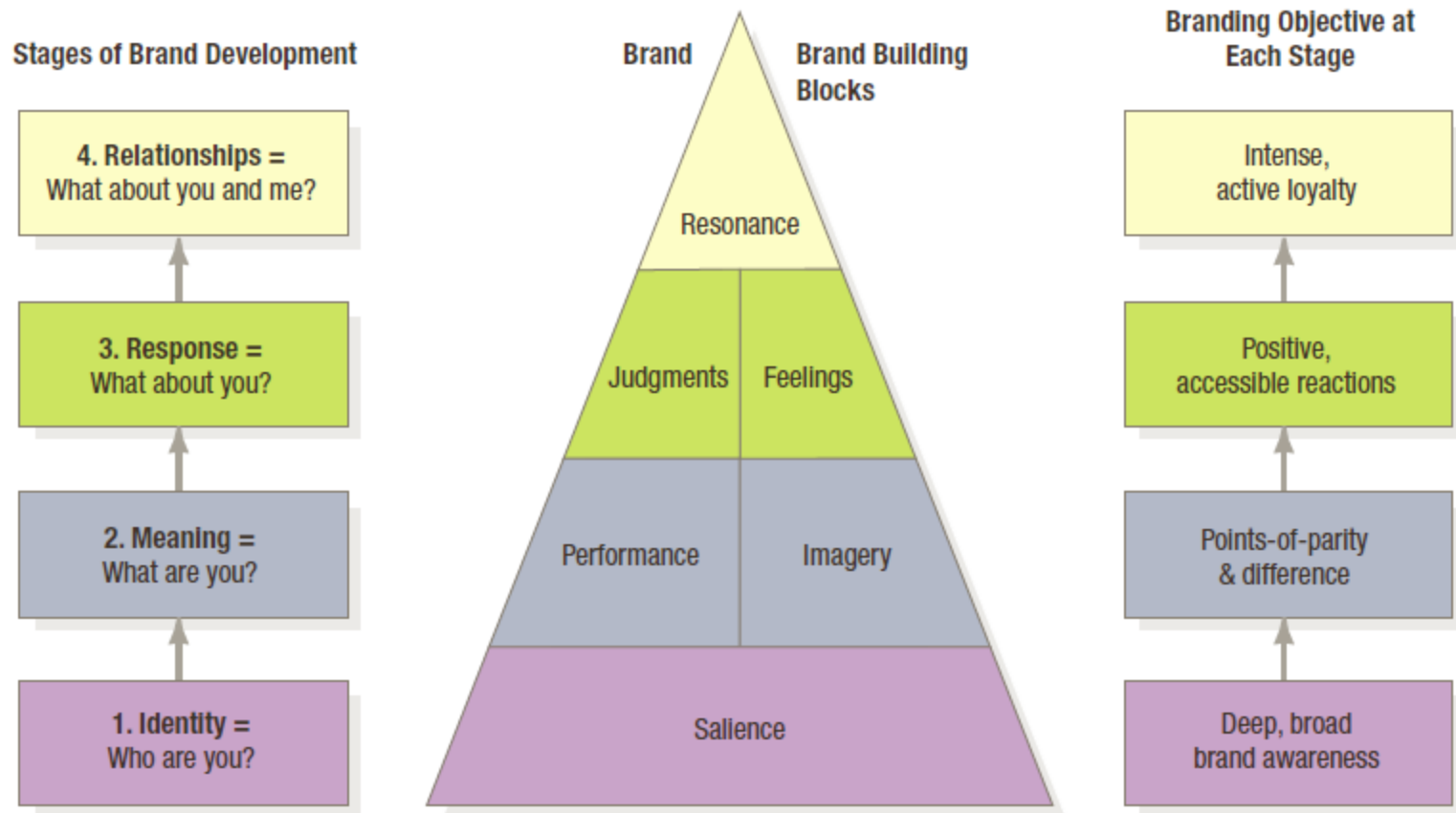
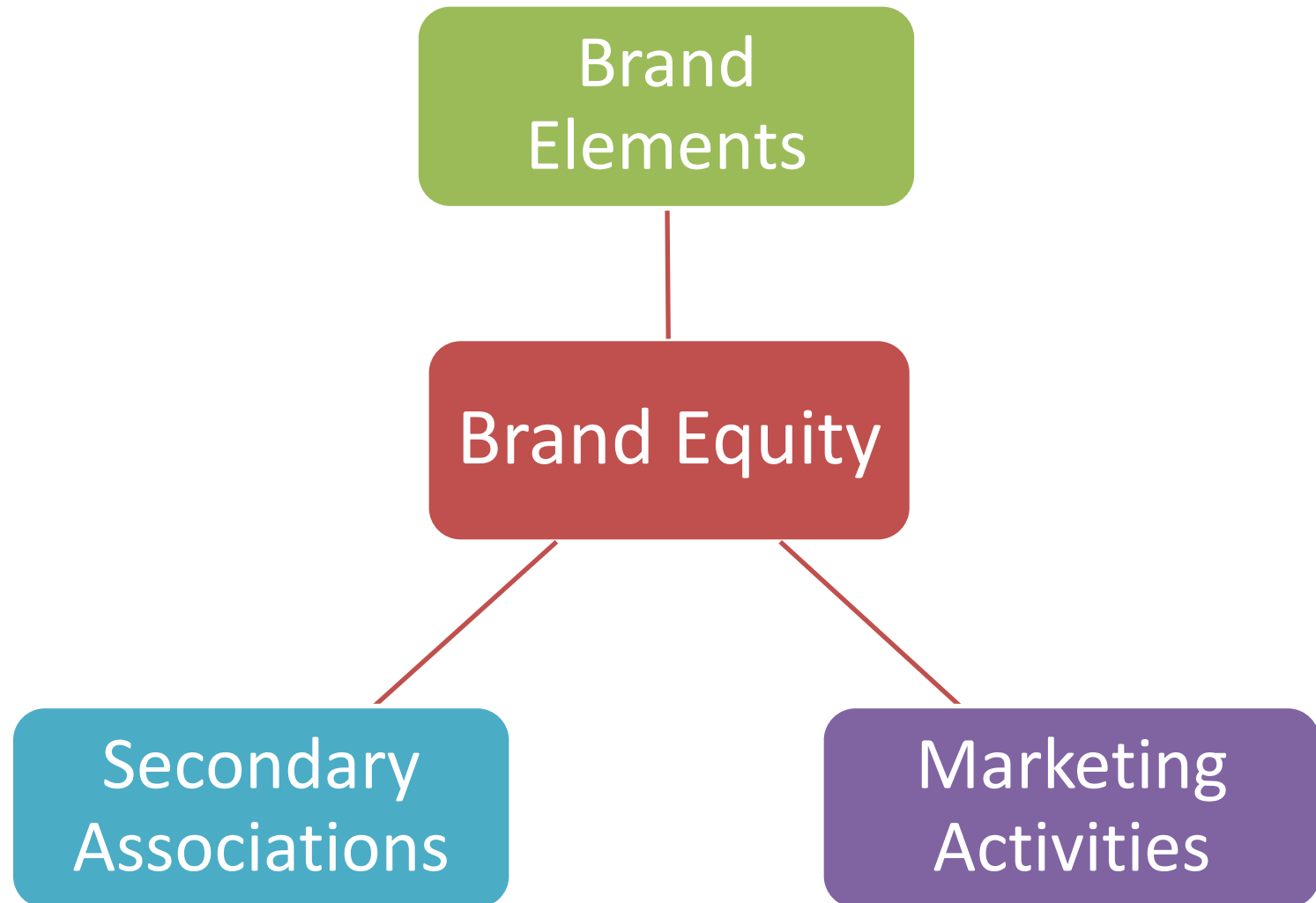


Figure 9.4

Brand Resonance Pyramid



Building Brand Equity



1. Brand Elements

- Brand Names
- URLs
- Logos
- Symbols
- Characters
- Spokespeople
- Slogans
- Jingles
- Packages
- Signage

Brand Element Choice Criteria

1. Brand Builders

Memorable
Meaningful
Likable



2. Defensive

Transferable
Adaptable
Protectable

Developing Brand Elements

What was the
name of that
cookie I like?

- Easy to recall
- Descriptive
- Persuasive



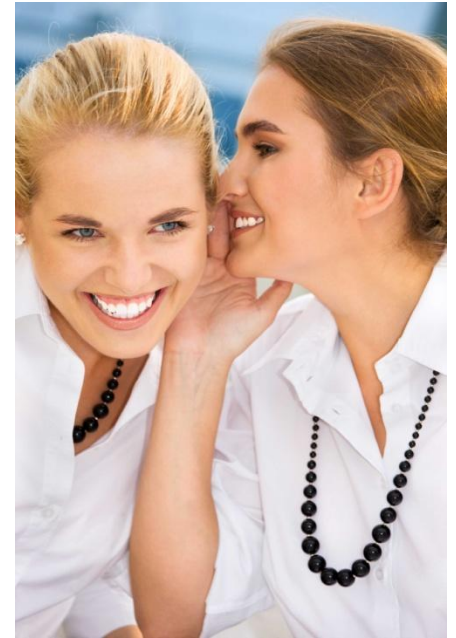
2. Holistic Marketing Activities



Observation



Interactions w/company



Word of Mouth

3. Secondary Associations

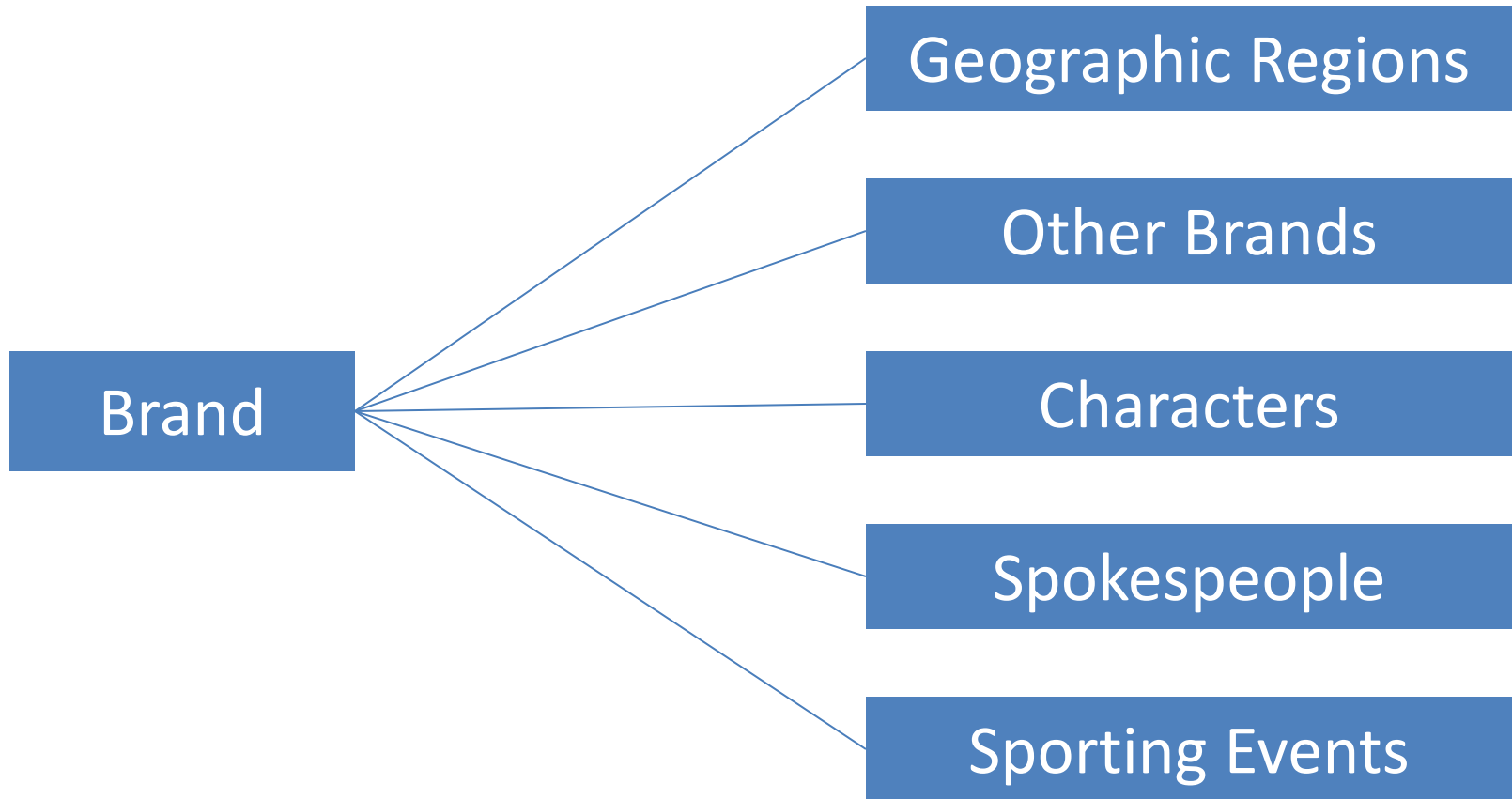
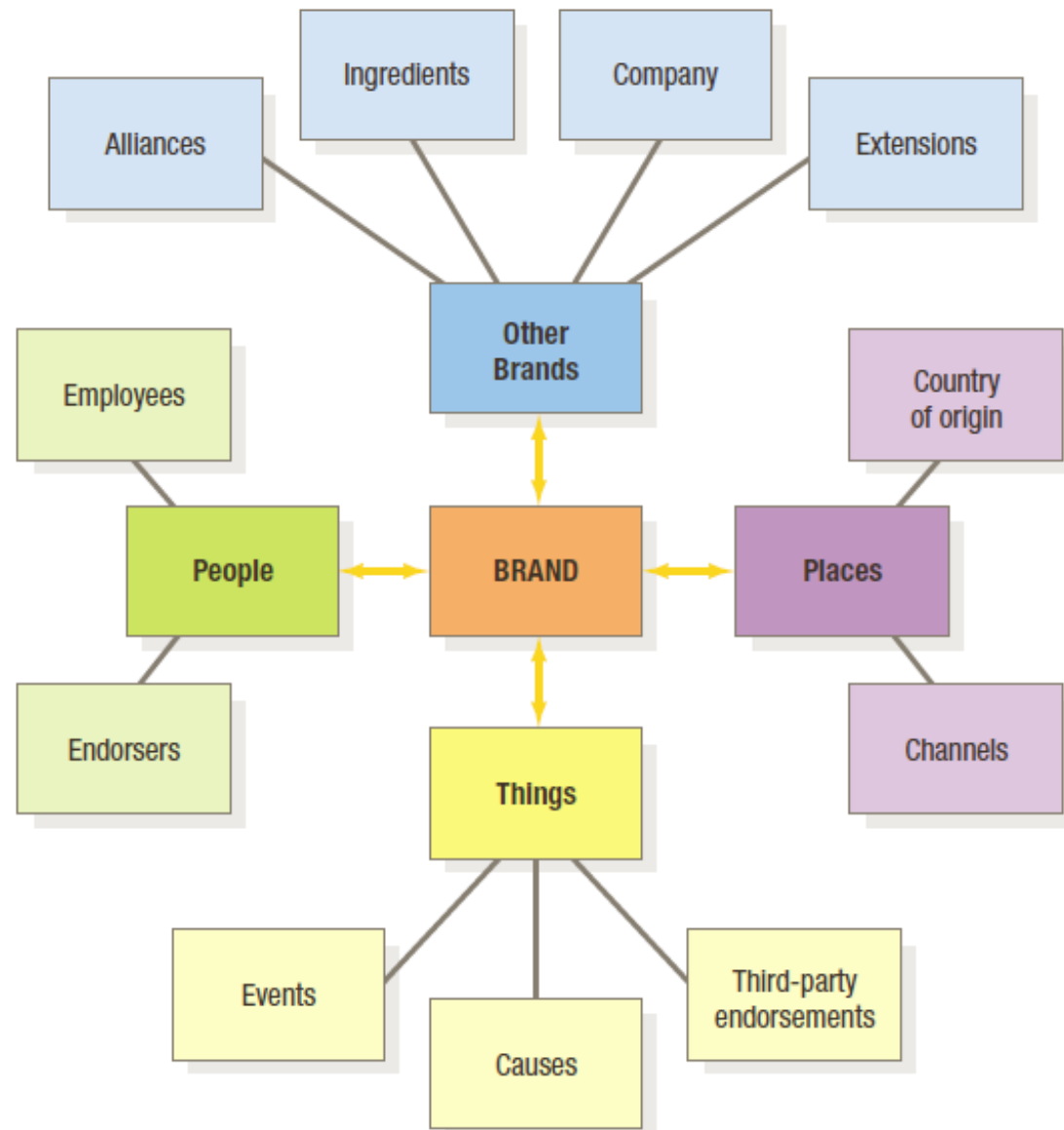
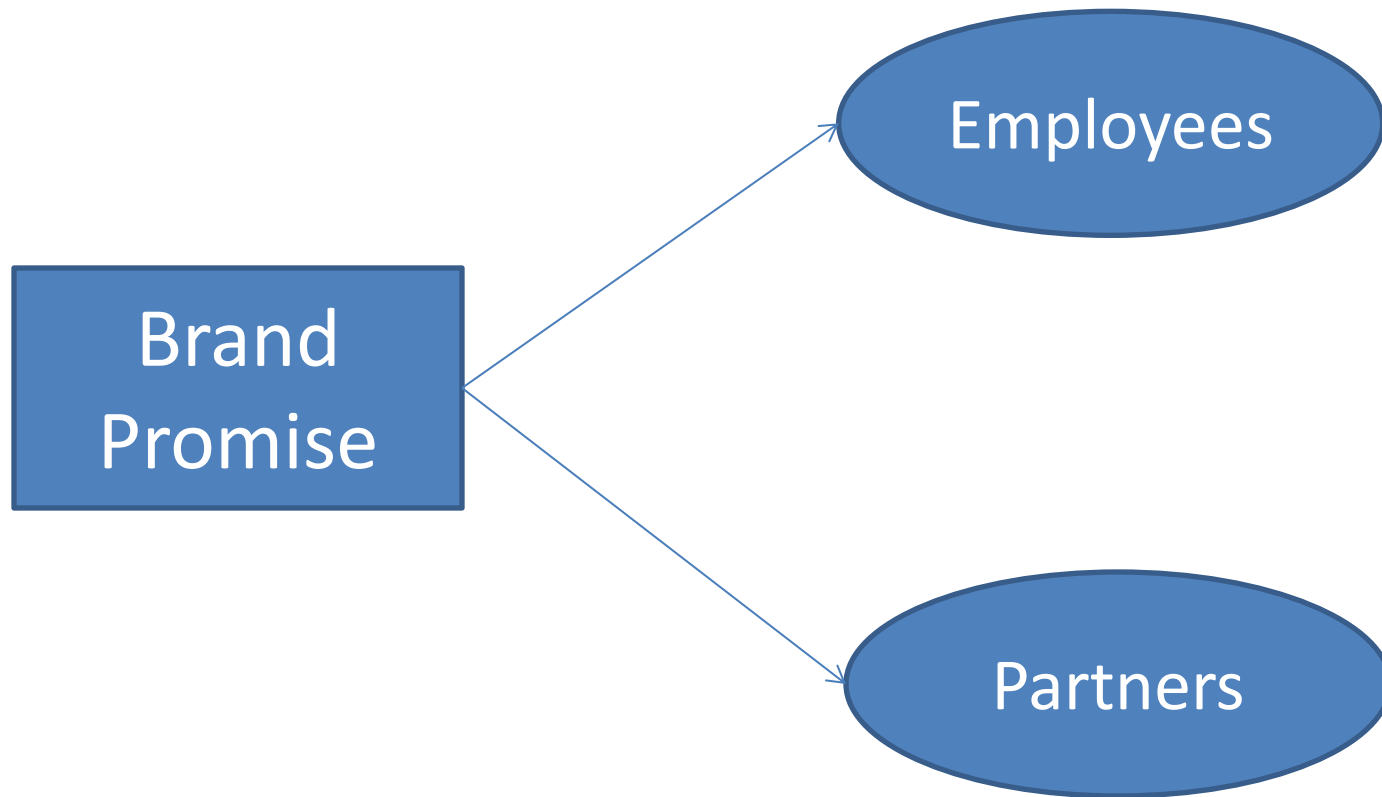


Figure 9.5



Secondary Source of Brand Knowledge

Internal Branding



Brand Communities

Members have:

- Brand Connection
- Shared rituals/stories
- Responsibility to community

H.O.G.[®]
Harley Owners Group



Measuring Brand Equity

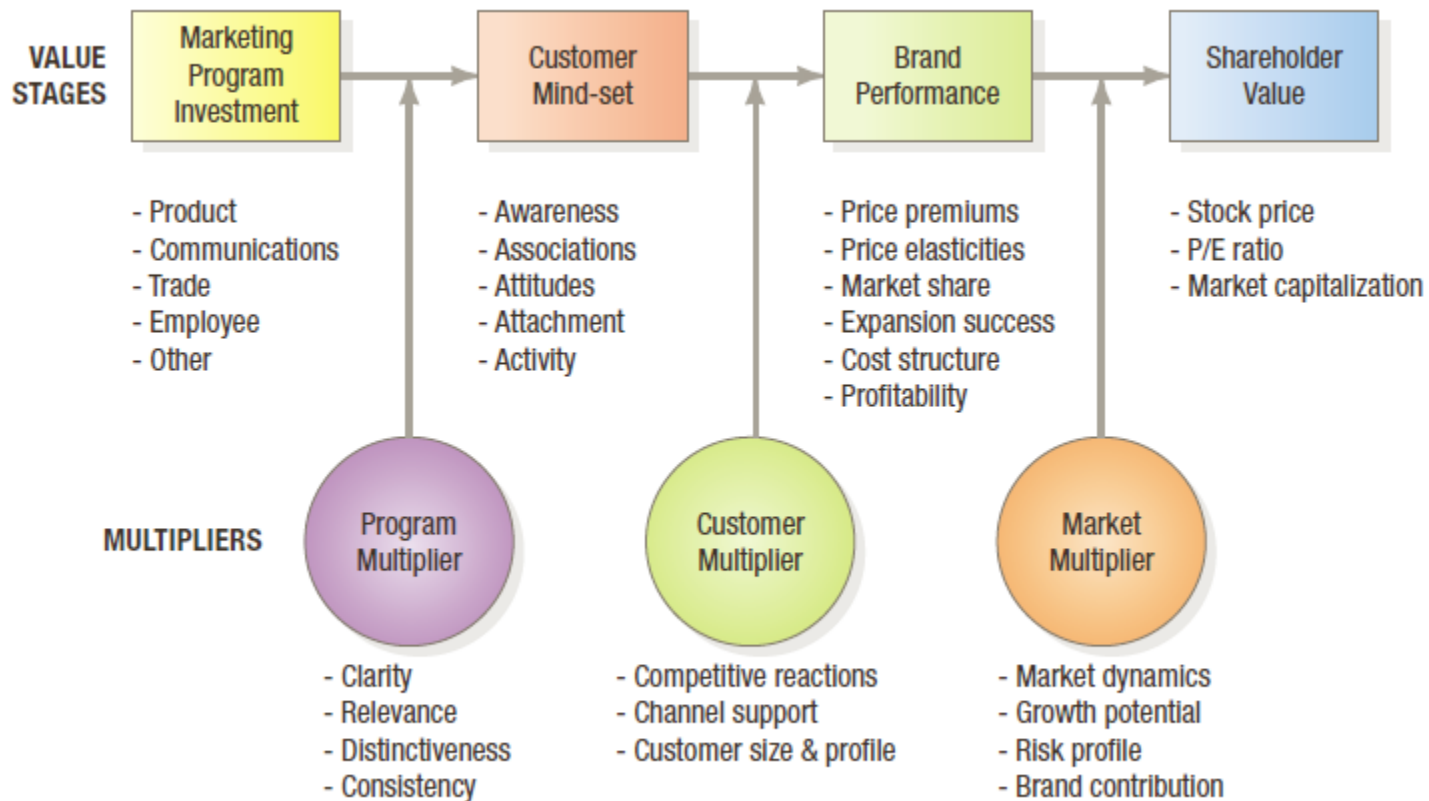
Brand Audit



Brand-tracking Studies

Figure 9.6

Brand Value Chain

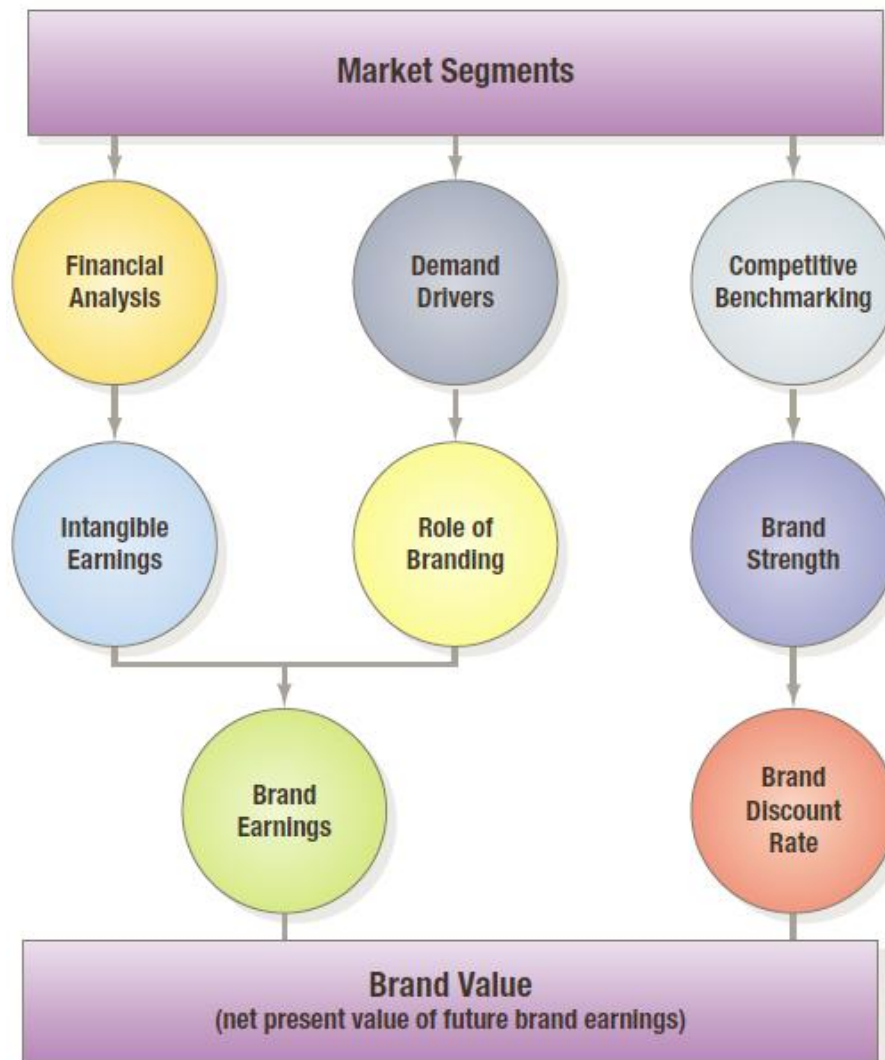


World's 10 Most Valuable Brands

Rank	Brand	2009 Brand Value (Billions)
1	Coca-Cola	\$68.7
2	IBM	\$60.2
3	Microsoft	\$56.6
4	GE	\$47.8
5	Nokia	\$34.9
6	McDonald's	\$32.3
7	Google	\$32.0
8	Toyota	\$31.3
9	Intel	\$30.6
10	Disney	\$28.4

Figure 9.7

Interbrand Brand Valuation



Managing Brand Equity

Brand Revitalization



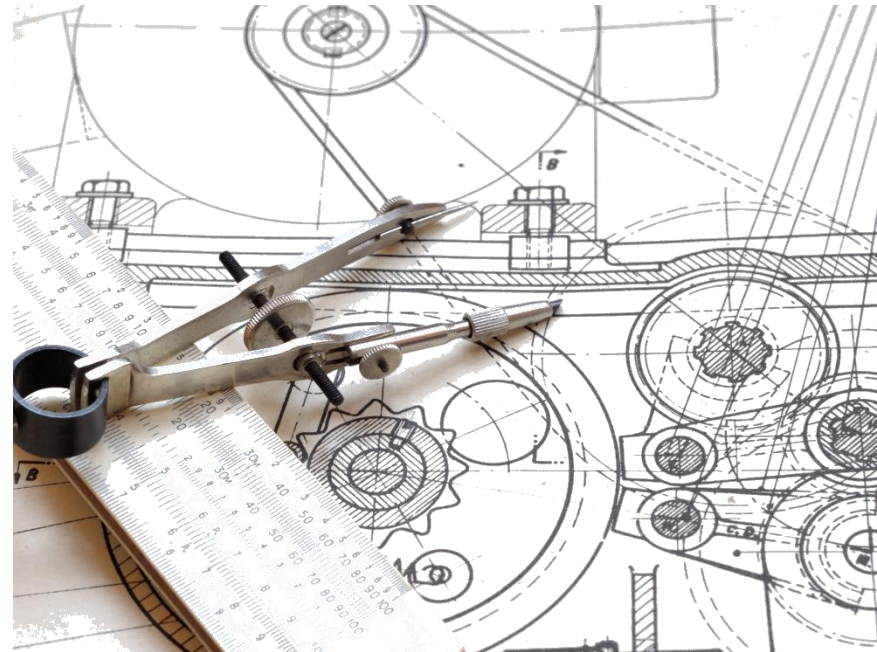
Brand Reinforcement

Branding Strategy

Develop new brand elements

Apply existing brand elements

Combine new and existing elements



Branding Strategy



Parent Brand
(Master or Family Brand)



Line Extension

Tide

- Fruit on the Bottom
- Fruit Blends



Category Extension

Honda

- Automobiles
- Lawn Mowers

Branding Decisions



Individual Brand Names

.....
GENERAL MILLS

- Bisquick
- Gold Medal
- Wheaties
- Yoplait



Company Brand

GE, Heinz, Campbell Soup

Sub-brand name

Kellogg's Rice Krispies, Frosted Flakes...

Brand Portfolio

A brand portfolio is the set of all brands and brand lines a particular firm offers for sale in a particular category or market segment.

Brand Portfolio - Sony



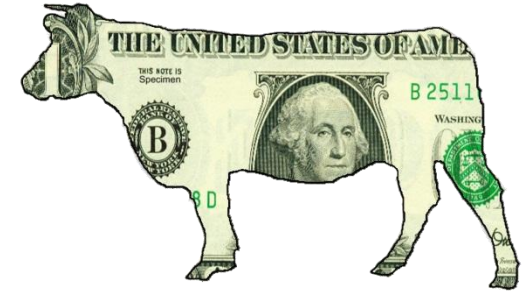
Computer	Cameras	Televisions Theatre	Portable Electronics	Sony Pictures	Games
VAIO -notebook -desktop Digital Home Disc Burner Location Free mylo Software	Cyber-shot Alpha SLR HandyCam Printers Digital picture frames Photo services	Televisions Home theatre systems Blu-ray Disc DVD players Home audio components	Walkman Video MP3 Rolly Reader Digital Book Sony Cell Phone GPS	Movies -Theatre -DVD -Blue-ray Television -Comedy -Drama -Daytime -Cartoons Music	PlayStation -PS3 -PS2 -Portable

Brand Roles

High-end Prestige



Low-end Entry Level



Cash Cows

Flankers

Brand Extensions

Improve the odds of new-product success

